Contents

1 28th July - Thursday

2 31st July - Friday

- 52 weeks high and low is a decent range
- what could be the value in the future?
- whether it is overvalued or undervalued against our future projections.
-

2.1 Security Valuation

- Debt Instruments

  Coupon Instruments

  Treasurey Instruments

  Zero Coupon Instruments

  Flexi Coupon Instruments

  Deep discount Instruments
- Equity Instruments

  Common Equity Instruments

  Preferred Equity Instruments

  Convertible Instruments

  Derivative Instruments

2.2 Coupon Instruments

- LTP - Last Traded Price
- Interest on the coupons is not Traded
- Clean price, dirty price, and accrued Interest
- Trade happens at the clean price and accrued Interest is paid to the new buyer
- More commonly, the buyer pays the price deducing the accrued Interest
-

2.3 Valuation of Coupon Instruments

$$\text{Running Yield} = \frac{Couponamount}{CleanPrice}$$

$$\text{Simple Yield to Maturity} = \frac{C}{CP} + \frac{P - CP}{nCP}$$

$$\text{Price} = \sum_{i=1}^{n} \frac{C_i}{(1+YTM)^i} + \frac{P}{1+YTM}^{n}$$

C - Coupon Amount, P - face value, CP - Clean Price, K - discount return
How do we find K?

$$\text{Accrued Interest} = \frac{C}{m}\left(\frac{d_{xi} - d_{xc}}{T_d}\right)$$

d_{xi} - number of days since the last coupon payment; d_{xc} - number of days between book closure dates

Term structure of Interest rates.

Exchange announces the date on which dividends are to be paid or something - Book Closure date (Please check it once)

ex- coupon; cum- coupon dates (Read about them)

2.4 Equity Valuation: Multiplier Method

- Earnings Valuation
- Revenues Valuation
- Cash Flow Valuation
- Economic Value Added
- Accounting Value
- Yield Valuation
- Member's Valuation

$$\text{PE Multiplier} = \frac{\text{Market Price}}{\text{Earnings Per Share}}$$

2.5 Multiplier Method

Price-Eanings Ratio

$$PEGrowthRate = \frac{PEMultiplier}{GrowthRate}$$

$$PERelative = \frac{SharePE}{IndexPE}$$

Price to Sales Ratio

$$\frac{MarketCapitalisation}{Oneyeartotalrevenue}$$

Price to Book Value Ratio

$$\frac{MarketPrice}{Bookvaluepershare}$$

3 04th August - Tuesday

3.1 Security Valuation

3.2 Class Exercise

PSR = Price to Sales Ratio = Share Price/Revenue Per Share PSR = Market Cap/Annual Revenue